State of Ohio **Administrative Policy** Statewide Crime Self-Insurance Program	**No: ORM-03** Office of Risk Management
	Effective: July 1, 2024
	Issued By: Kathleen C. Madden, Director

I. Purpose

The ***Crime Self-Insurance Program*** (Program) was established pursuant to Ohio Revised (ORC) §9.822 to protect the ***State*** and its citizens against monetary loss due to the dishonest acts of ***Employees*** and ***Agents of the State***. The Department of Administrative Services, Office of Risk Management (ORM) administers the Program. The purpose of this administrative policy is to detail the specifics of the Program and does not constitute a policy of insurance.

II. Scope

The Program covers first and third-party losses of State funds, or the funds or property of others in the care, custody, and control of the State, due to ***Dishonest or Fraudulent Acts*** or ***Acts of Unfaithful Performance of Duty*** (collectively, Acts) by Employees and Agents of the State acting alone or in collusion with others.

III. Policy

A. **Coverage Period:** The effective date of the Program is July 1, 2024. Losses first discovered on or after the effective date, regardless of the occurrence date, shall be covered by the Program.

B. **Limits of Coverage:** The Program provides a combined single limit of $1,000,000 per claim, no matter how many perpetrators are involved. Excess coverage may be provided via endorsement to the Program, or the purchase of commercial insurance when an ***Agency*** has a state or federal requirement that exceeds the limit provided under the Program.

C. **No Duplication of Benefits**: The Program does not cover losses determined by ORM to be covered under the Self-Insured Tort Liability Program, Self-Insured Judicial Liability Program, or Self-Insured Vehicle Liability and Self-Insured Vehicle Damage Program. Should an incident occur in which more than one self-insurance or commercial insurance policy carried by the State would apply, the maximum amount of the claim settlement under all policies shall not exceed the actual loss suffered by the claimant.

D. **Defense Costs and Expenses Erode Limit**: All loss adjustment and legal expenses paid through the Program are included in the $1,000,000 per claim limit. However, no coverage is afforded for expenses and defense costs incurred by a person who committed an Act.

E. **Restitution:** The Agency whose Employee or Agent committed the Act must report to ORM the existence of any criminal case relating to the loss. The Agency whose Employee or Agent committed the Act, or a third party injured by the Act, will work with the prosecutor's office to include a restitution order with any conviction or plea deal involving the Act. Any restitution received by the Agency or third party will be reimbursed to ORM if settlement of the claim under the Program has already been paid. In the event the Agency or third party fails to arrange for restitution prior to sentencing, ORM will do so.

F. **What is covered:** To the extent permitted by Ohio law and except for situations where officer, employee, or governmental immunity would apply, the Program will cover first and third-party losses resulting from:

1. Acts: The Program will pay for loss of or damage to money, securities, and other property resulting directly from the Act(s) of an Employee or Agent of the State, acting alone or in collusion with other persons.
2. Forgery or Alteration: The Program will pay for loss resulting directly from forgery or alteration of checks, drafts, promissory notes, or similar written promises, orders, or directions to pay drawn on the State's accounts, or accounts of others that are held or managed by the Agency.
3. Inside State Premises – Theft, Robbery, or Safe Burglary:
    a) The Program will pay for loss of or damage to money, securities, or other property resulting directly from theft, burglary, or robbery committed by a person present inside State premises, or resulting directly from disappearance or destruction within State premises;
    b) The Program will pay for loss from damage to State owned premises or their exteriors resulting directly from an actual or attempted theft, burglary, or robbery;
    c) The Program will pay for loss of or damage to a locked safe, vault, cash register, cash box or cash drawer located inside State premises resulting directly from an actual or attempted theft, burglary, or robbery, or unlawful entry into, those containers.
4. Outside State Premises – Theft: The Program will pay for the loss of or damage to money, securities, or other property outside the premises in the care and custody of an Employee or Agent of the State resulting directly from an actual or attempted theft.

G. **Who is an Insured**

1. All State agencies, boards, and commissions in the executive, legislative, and judicial branch, and all offices of elected State officers.
2. All Employees and Agents of the State*,* for whom coverage has been extended by ORM.

H. **Premium Determination**: Pursuant to ORC §9.823, a premium allocation, which may periodically change, will be collected from each participating Agency to cover claim payments, loss adjustment expenses and the cost of administration. Annual premiums will be actuarially determined.

I. **Exclusions:** The Program does not cover:

1. Losses discovered prior to the effective date of the Program.
2. Losses caused by Employees or Agents of the State who previously committed Acts that were known at the time of a reported loss by the Agency.
3. ***Privacy Violations****.* However, the Program may cover actual monetary loss otherwise covered under the Program that results directly from a Privacy Violation.
4. Loss of income, damages other than compensatory damages, and payment of costs, fees or other expenses incurred in establishing the existence of an Act or the amount of loss under the Program.
5. Any loss involving virtual currency of any kind, by whatever name known, whether actual or fictitious, including, but not limited to, digital currency, crypto currency, or any other type of electronic currency.
6. A loss, or part of any loss, when the only proof as to its existence or amount is dependent on an inventory computation or a profit and loss computation. However, such records may be used as part of the investigation to support the amount of loss being claimed.
7. Loss resulting from trading, whether in a genuine or fictitious account.
8. Loss resulting from accounting or arithmetical errors or omissions.
9. Loss resulting from the giving or surrendering of property in any exchange or purchase.
10. Losses attributed to unintentional, negligent acts, errors, or omissions of Employees or Agents of the State who are acting within the scope and authority of their employment or Agency.
11. Theft, disappearance, or damage to State-owned vehicles or motorized equipment, including trailers and attached equipment, regardless of whether the Agency has chosen to participate in the Self-Insured Vehicle Damage Program. However, we will cover theft of State-owned assets stolen from a motor vehicle.
12. Theft, damage, destruction, or mysterious disappearance of Employee-owned property, money, or securities.
13. Theft or disappearance of inmate property that is the direct result of another inmate, misplacing of items during a facility transfer, or mysterious disappearance. This exclusion does not apply if an inmate's loss of property, money, or securities is the direct result of an Act.

J. **Duties in the Event of a Loss**

1. Any known or suspected Act should be reported as soon as the Agency becomes aware. Incidents can be reported via the Risk Management Portal, which can be accessed from any computer or mobile device by going to the ORM website: http://DAS.Ohio.gov/riskmanagement.
2. All suspected incidents must be reported to the State Highway Patrol and/or the Ohio Inspector General.
3. In the event of the occurrence of an Act, ORM will conduct an initial investigation, which may require statements from individuals with knowledge of the incident, or provision of Agency incident reports and police reports. Such preliminary information will be used by ORM to properly reserve the claim. The Agency must cooperate fully with law enforcement and the Inspector General's office, and must comply with any requests for documents, interviews, or provision of information that ORM requests. ORM will not in any way impede the investigation by law enforcement, or the Inspector General. Should an Agency fail to cooperate with any part of the investigation, coverage may be denied under the Program.

K. **Excess Coverage Schedule:**

Agency	Excess Limit	Description of Coverage
Department of Veterans Services	$3,000,000	3rd Party losses (e.g., veterans homes residents) pursuant to federal code 38 CFR Part 51.70

IV. Definitions

A. Act of Unfaithful Performance of Duty. An Employee or Agent of the State's failure to perform their duties in good faith, without malfeasance, and without neglect.
B. Agency. The general assembly, the supreme court, the offices of all elected State officers, and all departments, boards, offices, commissions, agencies, and other instrumentalities of the State. "Agency" does not include political subdivisions, state colleges, or universities.
C. Agent of the State. A person: a) who has a power to act on behalf of and bind the State by their actions; b) who the State has the right to control the actions of; and c) whose actions are directed toward the attainment of an objective sought by the State. Designation as an Agent of the State will be determined at the time of loss.
D. Confidential Personal Information. Information that describes anything about a person, or that indicates actions done by or to a person, or that indicates a person possesses certain personal characteristics, and that contains and can be retrieved from a system by a name, identifying number, symbol, or other identifier assigned to a person.
E. Crime Self-Insurance Program. The authority of the department of administrative services to compromise claims as provided for in ORC §§ 9.82 to 9.83 and Chapter 2743.

F. Dishonest or Fraudulent Act. One or more acts committed by Employees or Agents of the State with the manifest intent to cause the State or a third party to sustain loss and to obtain financial benefit for the Employee or Agent of the State or for any other person or organization the Employee or Agent of the State intends to receive such benefit, with the exception of salaries, commissions, fees, bonuses, promotions, awards, profit sharing, pensions, or other employee benefits earned in the normal course of employment. All losses attributable to the same acts or circumstances shall be considered a single claim.
G. Employee. As defined in ORC §109.36(A).
H. Privacy Violation. The disclosure or use of Confidential Personal Information.
I. State. The state of Ohio, as defined in ORC §109.36(B). In addition, State, for the purposes of coverage under the Program, does not include state colleges and universities, boards of elections, courts of common pleas, courts of appeals, the Ohio History Connection, or agricultural experimental stations.

V. Authority

ORC Sections 9.821, 9.822, 9.823, 9.83.

VI. Resources

None.

VII. Inquiries

Direct inquiries about the Program to:

Office of Risk Management
Legal Services Division
Ohio Department of Administrative Services
4200 Surface Road
Columbus, OH 43228
das.riskmanagement@das.ohio.gov

State of Ohio Administrative Policies may be found online at
https://das.ohio.gov/home/policy-finder/filter-policy-finder

VIII. Revision History

Date	Description of Change
8/21/2024	Original policy.